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County: los-angeles

Division: Civil Law and Motion

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Case Number: 25VECV06308 Hearing Date: August 3, 2026 Dept: U

SUPERIOR COURT OF THE STATE OF CALIFORNIA

FOR THE COUNTY OF LOS ANGELES - NORTHWEST DISTRICT

SCD ENTERPRISES, a California corporation,

Plaintiff,

vs.

LAKE LINDERO HOMEOWNERS ASSOCIATION, a California nonprofit mutual benefit corporation; HAROLD SIEGEL, an individual; YVETTE TOUQUET, an individual, and DOES 1- 20, inclusive,

Defendants.

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CASE NO: 25VECV06308

[TENTATIVE] RULING RE: DEFENDANT LAKE LINDERO HOMEOWNERS ASSOCIATION’S DEMURRER TO THE COMPLAINT AND MOTION TO STRIKE PORTIONS THEREOF

Dept. U¿

8:30 a.m.¿

August 3, 2026

BACKGROUND

This case is a breach of contract action filed by Plaintiff SCD Enterprises against Defendants Lake Lindero Homeowners Association (“LLHA”), Harold Siegel (“Siegel”), and Yvette Touquet (“Touquet”).

On November 3, 2025, Plaintiff filed its complaint against Defendants alleging: (1) breach of contract; (2) fraud; (3) breach of the covenant of good faith and fair dealing; and (4) negligence.

On February 18, 2026, Plaintiff dismissed Siegel and Touquet as defendants from the case.

On May 20, 2026, LLHA filed its demurrer to the complaint and motion to strike portions thereof.

On July 21, 2026, Plaintiff filed its opposition briefs.

On July 27, 2026, LLHA filed its reply briefs.

RULING

The demurrer is sustained, with leave to amend, as to Plaintiff’s second cause of action for fraud. The demurrer is otherwise overruled. The motion to strike is granted, with leave to amend.

LEGAL STANDARD

Demurrer

A demurrer is a procedure to object to a pleading set forth under Code of Civil Procedure section 430.10,¿et¿seq.¿¿Because a demurrer tests the pleadings alone and not the evidence or other extrinsic matters, a demurrer analysis considers only those defects which appear on the face of the pleading or are judicially noticed.¿¿SKF Farms v. Superior Court¿(1984) 153 Cal.App.3d 902, 905.¿¿When considering demurrers, courts assume the truth of the facts alleged in the pleading and read the allegations liberally and in context.¿¿Schifando¿v. City of Los Angeles¿(2003) 31 Cal.4th 1074, 1081.

A demurrer for sufficiency attacks a pleading on the ground that it does not¿contain¿facts sufficient to¿state¿a cause of action.¿¿Code Civ. Proc., § 430.10 (e);¿Hahn v.¿Mirda¿(2007) 147 Cal.App.4th 740, 747.¿

Motion to Strike

The Court has broad authority to strike any¿portion¿of a pleading drawn not in conformity with the law and its orders.¿ Code Civ. Proc., § 436.¿ The trial court shall strike an allegation of punitive damages on motion unless the plaintiff has pleaded ultimate supporting facts.¿¿Clauson¿v. Superior Court¿(1998) 67 Cal.App.4th 1253, 1255.¿

DISCUSSION

LLHA demurs to each cause of action in the complaint: (1) breach of contract; (2) fraud; (3) breach of the covenant of good faith and fair dealing; and (4) negligence. LLHA also moves to strike portions of the complaint related to seeking punitive damages.

Review of Allegations in the Complaint

Plaintiff alleges that it signed a lease with LLHA in April of 2024 to run a restaurant (Decker Kitchen) at LLHA’s property in Agoura Hills. Before signing, Plaintiff told LLHA that selling alcohol to the public was essential to the deal, and LLHA assured Plaintiff it could use LLHA’s existing liquor license to do so. That promise was written into the lease, and the lease gave LLHA a cut of Decker Kitchen’s revenue, including alcohol sales. (Complaint, ¶¶ 12-16.)

Decker Kitchen opened in July of 2024 and served alcohol under LLHA’s license, which became a significant part of its revenue. In August 2025, LLHA told Plaintiff it could no longer use the license and had to stop serving alcohol. Plaintiff says this broke the lease’s core promise, gutted its revenue, and left it unable to pay rent, causing more than $200,000.00 in damages. (Complaint, ¶¶ 17-21.)

Plaintiff claims LLHA knew or should have disclosed, before the lease was signed, that Plaintiff wouldn’t be able to use the license. Plaintiff alleges LLHA concealed that fact to induce Plaintiff into a lease that paid LLHA a share of alcohol sales. Plaintiff characterizes this conduct as fraud. (Complaint, ¶¶ 22-28.)

Plaintiff alleges LLHA violated its duty of fair dealing by secretly applying for a different type of liquor license (one that would let a restaurant sell beer and wine directly) without telling Plaintiff. Plaintiff alleges LLHA had been quietly lining up a replacement tenant at higher rent contingent on securing the new license. Plaintiff says LLHA owed it a good-faith chance to use that license too. (Complaint, ¶¶ 29-38.)

Plaintiff's allegations are sufficient to allege breach of contract, breach of the covenant of good faith and fair dealing, and negligence.

LLHA demurs to the following causes of action in the complaint: (1) breach of contract; (3) breach of the covenant of good faith and fair dealing; and (4) negligence.

The necessary elements for breach of contract are:¿(1) a valid contract; (2) a plaintiff's full performance of its obligations under the contract; (3) a defendant's breach of the contract; and (4) resultant damages.¿¿Wall¿Street Network, Ltd. v. New York Times Co.¿(2008) 164 Cal.App.4th 1171, 1178.

The necessary elements for breach of the implied obligation of good faith and fair dealing are: (1) the existence of contractual relationship; (2) an implied duty; (3) breach; and (4) causation of the plaintiff's damages.¿¿Smith v. San Francisco¿(1990) 225 Cal.App.3d 38, 49.¿ Allegations supporting a claim for breach of the implied covenant of good faith and fair dealing must show that the defendant's conduct "demonstrates a failure or refusal to discharge contractual responsibilities, prompted … by a conscious and deliberate act."¿¿Careau & Co. v. Security Pacific Business Credit, Inc.¿(1990) 222 Cal.App.3d 1371, 1395.

The necessary elements for¿negligence¿are: (1) that the defendant owed a legal duty to the plaintiff to use due care; (2) a breach of that duty; (3) causation; and (4) damages to the plaintiff.¿¿County of Santa Clara v. Atlantic Richfield Co.¿(2006) 137 Cal.App.4th 292, 318.

Plaintiff generally alleges that LLHA breached the contract by failing to provide ongoing access to LLHA's liquor license as required under section 59 of the lease addendum, which states:

"Lessee shall use Lessor's current liquor license #67707, which shall remain the property of the Lessor. Lessor will cooperate with the Lessee to access its use during the term of the Lease or any extensions thereof. Lessee's use of the liquor license is limited to its operation(s) at the Premises only. Lessor agrees to pay all fees, renewal costs and otherwise maintain and ensure the validity and permitted use by Lessee of such liquor license throughout the term of the Lease and all extensions thereof." (Complaint, p. 30.)

Plaintiff alleges LLHA breached this provision when it notified Plaintiff that it could no longer use the license and had to stop serving alcohol. Plaintiff alleges LLHA breached its duty of care because LLHA should have known at the time it entered the lease that it would be unable to adhere to the foregoing provision. These allegations are sufficient to support prima facie claims for breach of contract, breach of the covenant of good faith and fair dealing, and negligence.

As to Plaintiff's breach of contract claim, LLHA argues the Court should find the claim lacking because "[t]he object of a contract must be lawful when the contract is made" and because a contract is void if it has an unlawful object. Civ. Code §§ 1596, 1598, 1667. LLHA takes the position that its adherence to the contract terms was frustrated by its discovery that the lease required it to violate certain regulations regarding serving alcohol, thus that provision is illegal and cannot be enforced. For purposes of a demurrer, the Court disagrees.

Even if the provision regarding sharing the alcohol license violates certain regulations regarding serving alcohol, the lease provision is included in an otherwise facially valid lease agreement. LLHA has not argued that the entire lease is void due to illegality. If, as appears to potentially be the case, the parties discovered after the lease was entered that they included a lease provision that is impossible to lawfully comply with, there remains an issue as to which party is in breach. The demurrer is overruled as to Plaintiff's breach of contract claim.

As to Plaintiff's breach of the covenant of good faith and fair dealing claim, LLHA argues that the cause of action fails because it is duplicative of Plaintiff's breach of contract claim. Plaintiff responds that "[t]he parties' lease was premised on SCD operating a restaurant with alcohol service; LLHA's actions in connection with the Type 41 license application" (Opp. at 8) which could have allowed for the continued operation of the restaurant pursuant to the contractual terms, but then failing to ¿nd a workable licensing solution is different from the breach of contract claim such that it withstands demurrer based on duplication.

As to Plaintiff's negligence claim, LLHA fails to include arguments specific to this cause of action in its demurrer. To the extent that LLHA intended to argue that Plaintiff's negligence claim is improperly duplicative of Plaintiff's breach of contract claim, the Court disagrees. See Willdan v. Sialic Contractors Corp. (2007) 158 Cal.App.4th 47, 57 (contracting parties have common-law duty to perform contracts with care, skill and reasonable expedience; negligent failures to do so may constitute tort in addition to breach of contract). The demurrer is overruled as to Plaintiff's negligence claim.

Plaintiff's allegations are insufficient to meet its particularized pleading burden when alleging fraud and when seeking punitive damages.

LLHA demurs to Plaintiff's second cause of action for fraud. LLHA also moves to strike portions of the complaint related to seeking punitive damages.

The necessary elements for fraud are: (1) misrepresentation; (2) knowledge of falsity; (3) intent to defraud; (4) justifiable reliance; and (5) resulting damage.¿¿Conroy v. Regents of Univ. of Cal.¿(2009) 45 Cal.4th 1244, 1255.¿¿¿Additionally, any action sounding in fraud must be pleaded with particularity.¿¿City of¿Pomona¿v. Superior Court¿(2001) 89 Cal.App.4th 793, 803.¿ This heightened pleading standard requires a plaintiff to plead facts in his complaint showing¿"how, when, where, to whom, and by what means the representations [amounting to fraud] were tendered."¿¿Stansfield v. Starkey¿(1990) 220 Cal.App.3d 59, 73.

Plaintiff's allegations are insufficient to allege fraud because Plaintiff fails to identify what specifically LLHA's agents represented (and when, where, to whom, and by what means they made such representations) that justifiably led Plaintiff to believe it could rely on LLHA's liquor license. The mere fact that the liquor license provision is included in the lease is insufficient without additional context showing how and when such representations were first tendered. Plaintiff similarly fails to allege specific facts showing that at the time such representations were tendered LLHA's representatives intended to defraud Plaintiff by inducing reliance.

By all appearances, this is a breach of contract case. Without substantially more facts showing LLHA intended to defraud Plaintiff and made specific false representations in furtherance of its fraudulent scheme, Plaintiff has not met its particularized pleading burden when alleging fraud. For the same reasons, Plaintiff has not met its pleading burden when seeking punitive damages, i.e., Plaintiff has not shown Defendants acted fraudulently and maliciously rather than simply breaching the contract.

The demurrer is sustained, with leave to amend, as to Plaintiff's fraud claim. The motion to strike portions of the complaint related to seeking punitive damages is granted, with leave to amend.

CONCLUSION

Defendant Lake Lindero Homeowners Association's demurrer is SUSTAINED, with leave to amend, as to the second cause of action for fraud in the Complaint.

Defendant Lake Lindero Homeowners Association's demurrer is otherwise OVERRULED.

Defendant Lake Lindero Homeowners Association's motion to strike portions of the Complaint related to seeking punitive damages is GRANTED, with leave to amend.

Plaintiff is ORDERED to file its First Amended Complaint within ten (10) days. See Cal. Rules of Court, Rule 3.1320(g).

Defendant Lake Lindero Homeowners Association is ORDERED to give notice.

DATED: August 3, 2026

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Lee S. Arian

Judge of the Superior Court